

HOUSE BILL 2061

By Towns

AN ACT to amend Tennessee Code Annotated, Title 5;
Title 6; Title 7; Title 10; Title 62; Title 65; Title 68
and Title 69, relative to data centers.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 65, Chapter 4, is amended by adding
the following as a new part:

65-4-601.

As used in this part:

(1) "Commission" means the Tennessee public utility commission,
created under § 65-1-101;

(2) "Data center" means a privately owned and operated physical facility
housing computer servers, storage, and networking equipment to store, process,
and distribute data and applications, and that has a power capacity of more than
twenty megawatts (20 MW);

(3) "Electric utility" means:

(A) A utility, as defined in in § 7-51-2301, that provides electric
service to customers; and

(B) A public utility that provides electric service to customers; and

(4) "Water utility" means:

(A) A utility, as defined in § 7-51-2301, that provides water
service to customers; and

(B) A public utility that provides water service to customers.

65-4-602.

(a) Beginning January 1, 2027, a person shall not operate a data center in this state unless the data center is registered with the commission pursuant to subsection (b).

(b) In order to register a data center, the owner or operator of the data center shall provide the following information to the executive director for the commission, in a form prescribed by the commission:

(1) The data center's physical address;

(2) The name, mailing address, telephone number, and email address of the person having responsible charge for the data center's operation;

(3) An approximation of the data center's power capacity;

(4) The name of each electric utility and water utility that provides service to the data center;

(5) The number of persons employed to work on-site at the data center;

and

(6) Any additional information required by the commission by rule.

(c) The owner or operator of a data center shall notify the executive director of a change in any information provided pursuant to subsection (b) within thirty (30) days of the change.

(d) Upon receipt of a complete registration for a data center, the executive director shall notify each electric utility and water utility providing service to the data center that the utility must report to the executive director the amount of electricity or water, as applicable, that it provided to the data center during the immediately preceding billing period. Notwithstanding a law to the contrary, an electric utility or water utility shall comply with the reporting requirements of this subsection (d). The reports required by this subsection (d) must be provided to the executive director within thirty (30) days of

the end of each billing cycle during which the electric utility or water utility provides service to the data center.

(e) The owner or operator of a data center shall notify the executive director for the commission within thirty (30) days of cessation of operation of the data center. A registration under subsection (b) is valid until the executive director receives notice of cessation of operation of the data center. Upon receipt of a notice of cessation of operation of a data center, the executive director shall notify each electric utility and water utility providing service to the data center that the reporting requirements of subsection (d) will cease with regard to that data center immediately following submission of the report for the final billing period during which the data center was operational.

65-4-603.

Each electric utility and water utility that submits reports pursuant to § 65-4-602(d), and that is not required to disclose its service rates to the commission by another law, shall provide the executive director for the commission with a statement of its service rates, identified by month, for the twelve (12) months prior to receipt of a notice to initiate reporting under § 65-4-602(d) and for each month thereafter until the electric utility or water utility is no longer required to submit reports pursuant to § 65-4-602(d).

65-4-604.

The executive director for the commission, or the executive director's designee, shall compile the data it receives from reports submitted pursuant to § 65-4-602(d), and statements of service rates submitted pursuant to § 65-4-603 or another law, into monthly reports that clearly state the most recently reported electricity and water use of each data center in this state and the service rates charged by each electric utility and water utility that provides service to data centers in this state. Notwithstanding a law to

the contrary, the executive director shall publish and maintain the reports required by this section on the commission's website.

65-4-605.

(a) The commission may administratively assess a civil penalty of not more than one thousand dollars (\$1,000) per day up to a maximum of twenty-five thousand dollars (\$25,000) if the owner or operator of a data center fails, without good cause, to timely register or to timely update, correct, or otherwise modify their registration statement as required by § 65-4-602.

(b) In the chancery court of Davidson County, the commission may seek injunctive relief to prevent the owner or operator of a data center from engaging in any continuing violation of this part.

SECTION 2. The Tennessee public utility commission may promulgate rules to effectuate this act. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in Tennessee Code Annotated, Title 4, Chapter 5.

SECTION 3. This act takes effect July 1, 2026, the public welfare requiring it.